

100,000 percent since. This is one rare case where we have a great founder/operator, in Ralph Roberts. And then we have a second capable operator in his fourth son Brian Robert, who became president in 1990 and CEO in 2002.

For purposes of our study, we began the clock with the lows in 1981.

From that point, it took almost 18 years to get to 100x.

Comcast is an interesting case study because, as with Amazon, you did not see steadily growing earnings. In fact, Comcast often reported losses as it spent heavily on building its cable systems.

You had to see beyond reported figures to understand the value of its subscriber network. Sticky customers who pay every month, year after year, formed the backbone of any Comcast investment thesis.

While you did not see earnings, what you did see was sales growth and growth in subscribers.

“In the 1980’s and 1990’s Comcast went through substantial growth because of various acquisitions,” Alejandro writes. “For example, the purchase of a 26% stake of Group W Cable in 1986 doubled Comcast’s number of subscribers to 1 million. While their acquisition of Maclean-Hunter’s American division in 1994 allowed Comcast to reach a total of 3.5 million subscribers and made Comcast the third-largest operator in the United States.”

It would keep going. In 1995, Comcast acquired E. W. Scripps Co. for \$1.575 billion. The latter was a company with cable subscribers, and this pushed Comcast’s total number of subscribers to 4.3 million.

“Comcast also began to diversify its portfolio of businesses,” Alejandro writes. It acquired a majority stake of QVC, a home-shopping television network, for \$2.1 billion in 1995.

Comcast would also become a player in the mobile and Internet industries. “First with their purchase of American Cellular Network Corporation, a regional mobile service, for \$230 million in 1988,” Alejandro writes. “The second took place in 1996 with their launch of the @HomeNetwork which offered internet services.”

These efforts earned Comcast a \$1 billion investment from Microsoft in 1997. “Comcast’s integrated approach to cable distribution, programming and telecommunications complements that vision of linking PCs and TVs.